

Politically Polarized Depositors

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Finance - Big Picture

- ▶ Boycott's are a governance mechanism available to "customers" of a corporation
- ▶ A lot of the focus on CSR / ESG is about "stakeholder" rather than "shareholder" theory
- ▶ In many ways customers are better placed to monitor and discipline a corporation
- ▶ But... the economics of Boycotts are difficult... in particular holdout problems etc (the case of the eponym was unique - small community, consequences for deviation, very little information asymmetry)



Wiki: “Charles Cunningham Boycott (12 March 1832 – 19 June 1897) was an English land agent whose ostracism by his local community in Ireland gave the English language the term boycott.”

Summary

- ▶ Charles Cunningham Boycott was a land agent
- ▶ Thus he controlled living conditions for locals (tenant farmers) and seasonal workers
- ▶ He did not treat them well (eviction notices due to poor harvests etc)
- ▶ Employees (including seasonal workers to harvest crops) and local services stopped serving him (occasionally under threat of violence from other activists) in 1880
- ▶ Great media interest, cost the British government and others at least £10,000 to harvest about £500 worth of crops. (£1,539,097 , and £76,954 in today's pounds)

This Paper

Questions

1. Do bank depositors “Boycott” based on political values?
 2. Does it have “real” effects?
- ▶ The answer to question 1, in a very important context is yes
 - ▶ The answer to question 2 is a little more difficult

Important Definitions

Gun-lender definition, 3 criteria:

1. banks that financed the ten biggest firearms manufacturers in the US at the time of the 2018 Parkland shooting,
2. banks that did not implement anti-gun policies after the shooting, and
3. banks whose gun business received media attention following the shooting

Control banks:

1. either not financing the ten biggest firearms manufacturers in the US at the time of the shooting
2. implementing anti-gun policies after the shooting

Key Findings

- ▶ Deposit growth is lower in “Gun lenders” branches
- ▶ The effect is strongest in Blue and Moderate counties, does not exist in Red counties
- ▶ In moderate states it matters if the bank itself also seems to have a partisan leaning - classified as Republican by Rep PAC share
- ▶ Matters most where switching costs are low, and effects are stronger for young, educated, socially connected people (suggests strong role for social media and FinTech)
- ▶ Public attitudes to gun control matter (attitudes measured by google search terms, likely correlated with pct Dem voters)
- ▶ Anti-gun banks pick up more deposits
- ▶ has effects on deposit spreads, and the number of manufacturers (as measured by licenses)

Comment # 1 - Economic Magnitude & Accounting

$$\text{Branch Deposit Growth}_{i,j,c,t} = \beta \times \text{Gun Lender}_i \times \text{Post}_t \\ + \text{Control Variables} + \gamma_{i,j} + \delta_{c,t} + \varepsilon_{i,j,c,t}$$

$$\hat{\beta} = -0.010, \quad t - \text{stat} = (-6.67)$$

How to think about the coefficient?

- ▶ Current setup does get at the notion of depositor behavior, with (approximately) each branch getting an equal weight
- ▶ Weighted by pct total deposits would get at the economic importance for banks, which is a slightly different question
- ▶ From the p.o.v of the bank does this coefficient matter? the bad media attention might outweigh the deposit story economically

Comment # 1 - Economic Magnitude & Accounting

- ▶ You mention double counting in footnote 20, particularly important given the differences between Gun Lenders' flows from "Anti-Gun" to Gun banks will drive some mechanical effects?
- ▶ Some banks gain deposits, some lose, what is the net effect? Should be zero? Depends on wealth of clients?
- ▶ What is the intensive and extensive margin? Accounts are closing? It's doubtful that people split their deposits between gun banks and anti-gun banks

Comment # 2 How Much Does FinTech Matter?

- ▶ Table 6 shows the effect is stronger when competition is stronger
- ▶ Table 8 shows the importance of young, socially connected, and educated depositors

How much can you say about FinTech? (here I mean Digital Banking, see [Stulz \(2019\)](#))

- ▶ Is the effect stronger in the subset of banks with more/better quality digital banking?
- ▶ This could be a unique perspective on your results... FinTech changes the economics of boycotts...

Comment # 3 Real Effects

 **GOLDMAN**

Goldman Sachs has taken steps to build a future with fewer guns by limiting its exposure to the firearms industry. However, the bank has no public policy against doing business with all gun manufacturers and contributes to the NRA's top recipients of campaign contributions in Congress. [GOLDMAN PAGE →](#)

**URGE GOLDMAN SACHS TO ADOPT A
POLICY AGAINST DOING BUSINESS WITH
THE GUN INDUSTRY.**

 **FACEBOOK**

 **TWITTER**

 **SEND AN EMAIL**

Invested in magazine maker SureFire	33 / 40
No absolute ban on investing in gun industry, but no ties to NRA	30 / 40
Over \$91,000 in support for top NRA-backed lawmakers	0 / 10
Bonus points for strong pro-gun control statements	7 / 10

IS YOUR BANK
LOADED?



 

Comment # 3 Real Effects

- ▶ Currently, the real effects look at deposit spreads and number of firearms manufacturers
- ▶ For table 11? are they moving (maybe not, does it add up)? Consolidating?

You could look at other real effects

- ▶ Banks are likely to manage their public image after this, and they will likely optimist by doing the least costly change for the highest impact.
- ▶ The list above gives a list of outcomes you can use.

Other comments

1. Showed google search volume for certain terms, what about the documents and media used to identify gun lenders? seems like a requirement that people saw it? Media may drive heterogeneous effects
2. Banks seem to cater after the fact? This could be interesting to explore - could have a separating equilibrium where boycotts can't work because pro/anti-gun banks match with depositors
3. Do we see active media campaigning by banks to draw customers?
4. Sensitivity of results to classification?

Conclusion

This is an active and important area:

- ▶ [Bloomberg Law, September 2021](#)
- ▶ Growing Politicization of the muni bond market with california trying to stop gun lenders from accessing state deals
[Bloomberg, February 2023](#)
- ▶ General “Anti-ESG” effort of the GOP [Politico, May 2023](#)

This paper

- ▶ Robust empirical results.
- ▶ Interesting question.
- ▶ Looking forward to following the progress of the paper!